You are a consultant engaged by the board of directors ('the board') of Scottish National Bank Ltd ('SNB'). SNB is a private equity owned bank with two trading arms, investment banking and retail banking. SNB is headquartered in Glasgow, operates UK-wide, and has branches in several European cities.

You have held a meeting with Jenny McMillan (chief talent officer), to gather more information relevant to your engagement. Jenny explained that SNB's payroll operations are organised in core groups which comprise the client-facing and back-office functions, and call centre team. In respect of this engagement, she is concerned about the payroll processes for the call centre payrolls as in recent months, there have been a number of errors and delays. You have prepared payroll system process notes (Appendix 1) and Jenny has asked you to identify the weaknesses, analyse the implications and recommend improvements in the payroll process for the call centre payroll.

Required:

Identify the weaknesses, analyse the implications and recommend improvements in the payroll process for the call centre payroll.

(30 marks)

APPENDIX 1 – Payroll System process notes from discussion with Jenny McMillan, chief talent officer

SNB has two payroll groups that are managed as follows:

- Client-facing and back-office functions – outsourced by each local location and not to be considered in the current project
- Call centre staff – all staff based in the UK and managed on an in-house payroll system, Payroll VIP ('VIP')

SNB's payroll department comprises six members of staff, all of whom have access to VIP. The human resources ('HR') team is responsible for the engagement and termination of employees and for maintaining the employee masterfile. Due to high staff turnover within the call centres, members of the payroll department spend one or two days a month assisting HR in processing changes to the employee masterfile.

Call centre staff
VIP is a standalone, in-house-developed payroll system that has been in operation for over 10 years. Upgrades and modifications have been carried out by the in-house IT department.

Each member of the payroll department has a unique alphanumeric log-in and password for VIP that they are prompted to change on a regular basis. Amanda Li, head of payroll, is prompted each month, after the payroll run, to back-up VIP to the firm's cloud storage drive. The system log shows that this has been done each month, but the back-ups have not been tested for 13 months.

VIP is used to process payroll for circa 2,000 employees of SNB, who work in three UK call centres and are all paid on an hourly basis. A standard shift is either eight or four hours depending on the employee's schedule, and all staff are paid on a monthly basis on the last working day of the month. Remuneration is calculated based on each employee's hourly rate for hours worked up to the 20th of that month. Call centre staff are all paid at a rate 20% greater than the UK Government's minimum statutory hourly rate for their age. Jenny noted that a number of staff had queried their rate of pay with the payroll department during the year as their rate of pay had not increased in line with their age. A number of employees' wages were investigated and were found to have been underpaid for several months. Once investigated, the shortfalls were processed through the following month's payroll.

All joiners and leavers matters are dealt with by SNB's HR team. When starters complete their 'new starters' form for HR, they have the option to waive their rights under UK national legislation to work a maximum of 48 hours per week. Some employees take up this option signing their 'new starters' form as evidence of this.

When an employee leaves, their supervisor completes a termination form and sends this to HR. HR informs Amanda of the final date for the employee and their accrued holiday pay for Amanda to include in their final payroll payment.

Payroll processing

All call centre staff are paid based on time logged into the call centre customer support telephone system ('CST'). At the start of their shift, staff log into CST using their staff number and password. The system automatically logs all staff out after eight hours, regardless of their scheduled shift, unless they are actively on a call or if the call centre supervisor overrides the automatic logout via their unique log-in authorisation code. This is usually due to an employee needing to go home due to illness or an emergency.

Month end procedures: VIP

On the 23rd of the month, a payroll clerk runs an in-house developed program to upload the CST hours into VIP for preparing the payroll run. VIP then automatically produces the payroll listing, payslips and BACS file. The payroll clerk manually generates and posts the journal entries for the payroll related entries (salaries, income tax, pensions etc) to the call centre payroll accounts in the general ledger. These are reviewed and approved by the payroll manager.

Jenny reviews the payroll run each month but, due to time constraints, rarely raises any queries if the total does not vary too much from the previous month's total. This review is usually done after payment.

The BACS file is encrypted and transmitted by the senior payroll clerk, following approval by Amanda or Jenny, to SNB's BACS processing centre for payment. A print out of the payroll listing is stored securely in the payroll department until the end of the tax year, when it is moved into storage.

A payroll clerk prepares monthly general ledger reconciliations for all the call centre payroll salaries, PAYE, NIC, pensions and other deductions. These reconciliations are reviewed and evidenced by Amanda and retained for future reference and in case they are requested for review purposes.

Two exception reports are generated by the payroll clerk from VIP on a monthly basis and filed with the payroll listing. These show any employees working more than 48 hours per week and automatic logout overrides by shift supervisors.